285A.T - Kioxia Holdings

Full investment research | Model assumptions and source evidence

ACTIVE EDITION - 12 OCTOBER 2026. Framework 8.0. Full current operating model, embedded source figures and exact forward-four-quarter valuation reconciliation. Financial amounts are JPY billions unless stated otherwise; shares are millions; ceilings are JPY per share on the existing exact 3:1 split basis.

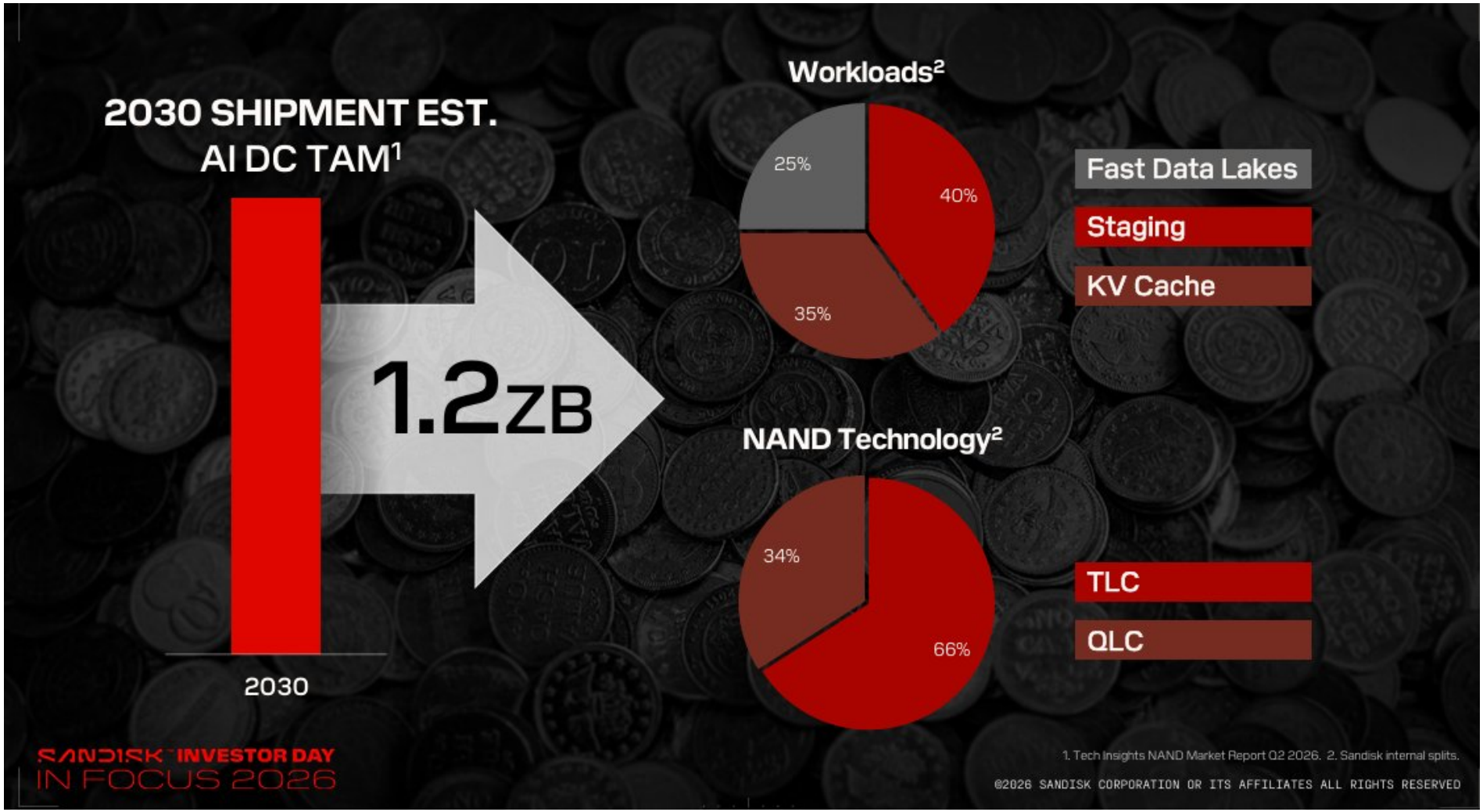
Q4 2027 ceiling: JPY 68,737.23 per share. Use 6x forward-four-quarter non-GAAP operating profit from Q4 2027 through Q3 2028. Current Excel Base **78/100** and artifact analytical Base **78/100** are preserved. The headline horizon follows the active master quarter; it is not a forecast change.

This is a conditional, LOW-confidence company operating case. The authorized NAND benchmark and product-growth path are retained. A bounded joint notebook procurement and PC NAND pricing risk is now included in calendar 2027 operating inputs under Rule 16b; there is no additional probability multiplier on the valuation output. New controls affect only the scoped PC portion of SSD/Storage. Smart Device, Other, enterprise assumptions, share count and valuation method are unchanged.

Research batch assessment

Persistent-agent storage is real demand context; the 500-600EB add-on is unproven

The Sandisk slide gives a 1.2ZB AI-datacenter NAND shipment estimate for 2030: 1,200EB of annual shipments, not a deployed storage stock. Its workload split is 40% staging, 35% KV cache and 25% fast data lakes: 480/420/300EB. TLC/QLC is a separate technology split of 66%/34%; those are not additional end markets.



Sandisk Investor Day 2026 slide supplied by the user: 1.2ZB annual AI-datacenter shipments in 2030; workload and NAND-technology splits describe the same pool.

The August 13 issuer deck already discusses agentic AI, persistent KV cache and context. The claim that persistent agents were wholly excluded therefore does not support automatically adding Zephyr's speculative 500-600EB. Its annual-shipment versus installed-stock scope, retention period and overlap are unspecified. If it were fully incremental annual shipments, arithmetic would imply 1.7-1.8ZB, a 42-50% uplift; that is a conditional scope illustration, not an adopted TAM.

Transmission into Kioxia requires bits, capture and realized price

Agent-hours, checkpoints, state retention, replication and retrieval can increase capacity and writes. Deduplication, compression, caching tiers and retention limits can reduce physical NAND needs. HBM/DRAM working state, SSD persistence and archival HDD bytes are separate wallets. Convert incremental usable storage stock into annual NAND shipments using new deployment, replacements, endurance, utilization and overhead; then apply qualified supplier share and product ASP. Do not translate a speculative EB figure straight into profit.

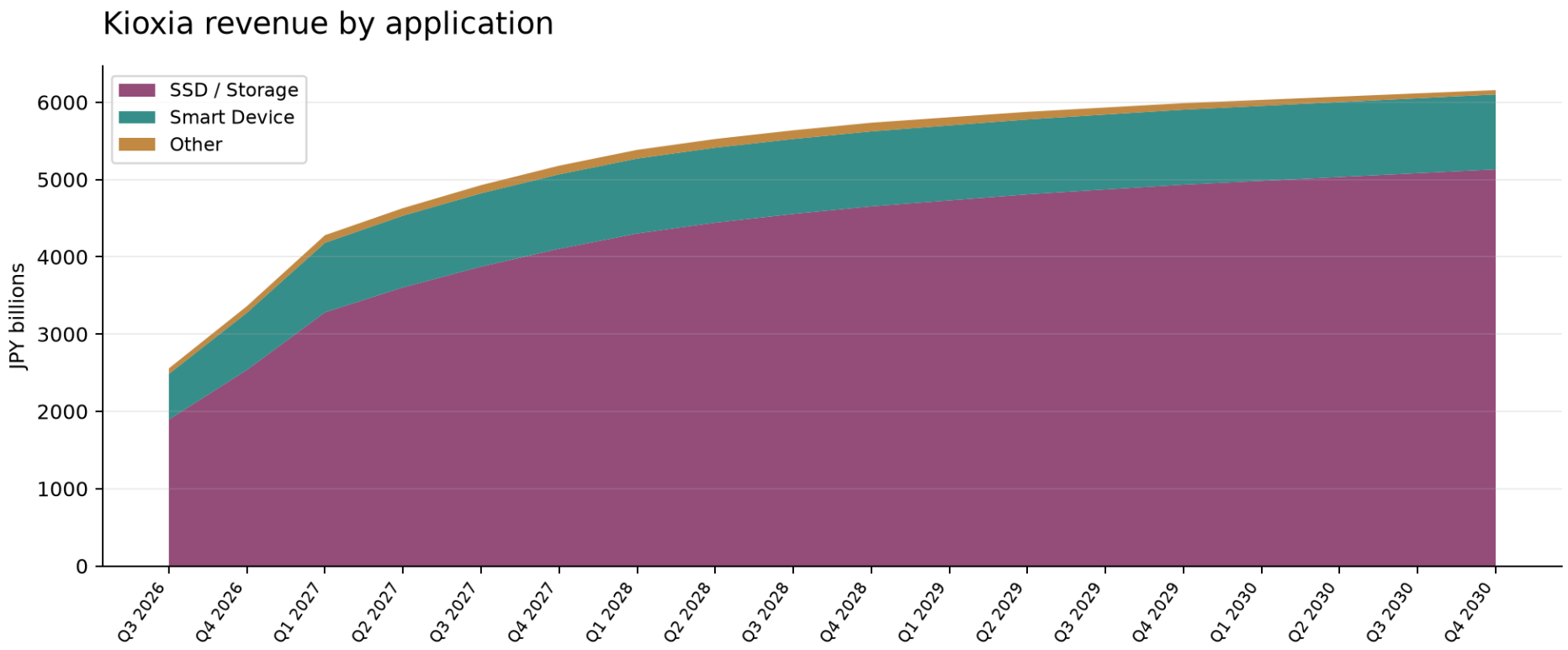
Analytical Base: 78; current Excel Base: 78. The SSD/Storage line already captures datacenter expansion. The persistent-agent source does not establish an incremental Kioxia allocation, order or realized ASP, so that source contributes no additional economics. Existing exact 3:1 split arithmetic remains applied once. This assessment remains separate from the quantified PC risk below.

Upgrade gates: customer storage build-outs with a defined period, eSSD qualification/capture, contracted versus floating bit mix, realized pricing, fab bit output/yield and incremental margin. The model could improve through higher shipped bits or firmer margins if those are quantified. Persistent-agent demand alone is not evidence for an immediate incremental ceiling increase.

Visual model dashboard

All forward values are labeled model assumptions. The current model contains eighteen operating quarters and fifteen complete four-quarter valuation windows. Source figures are evidence; forecast charts plot saved current calculations. No alternative inactive target line is shown.

Revenue and product mix



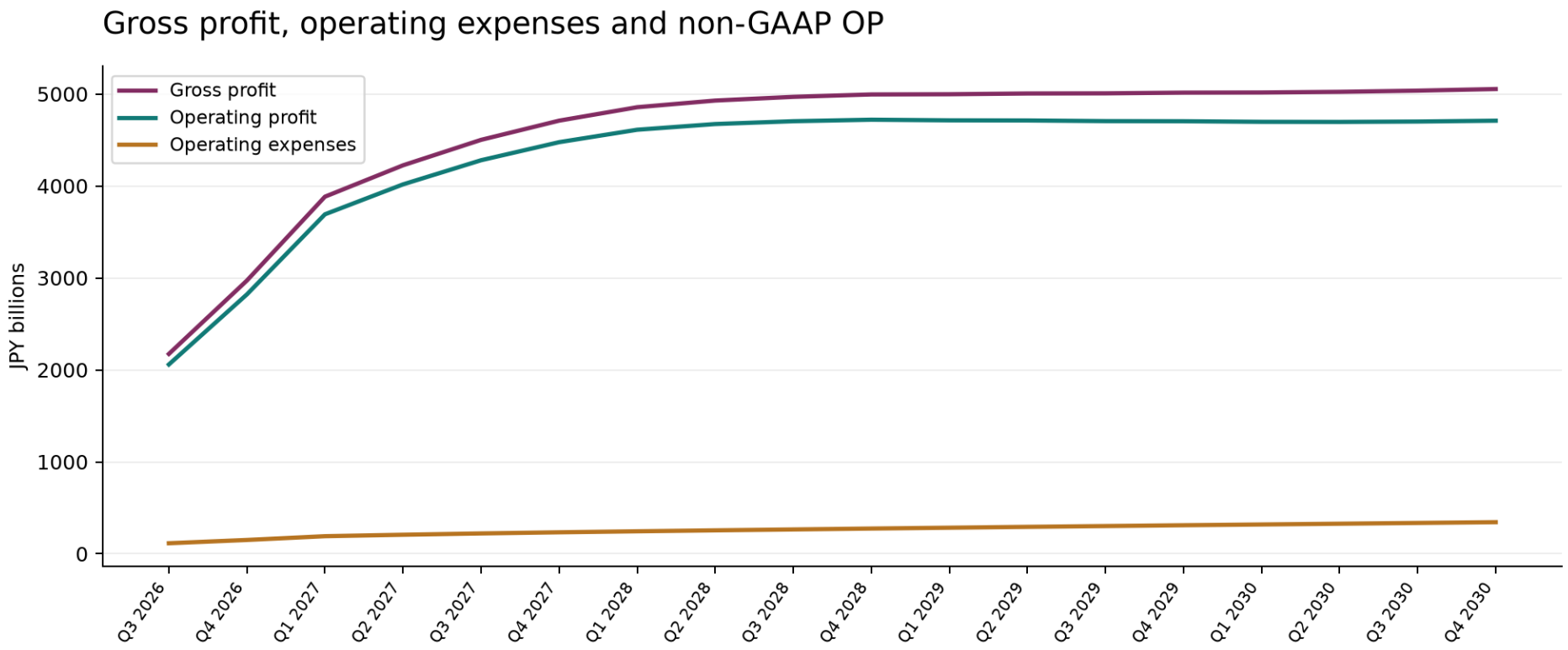
1amInvesting | current model assumptions | 12 October 2026 | rounded display; exact workbook calculations retained

Kioxia revenue by application

Calendar quarter	Revenue	SSD / Storage	Smart Device	Other
Q3 2026	2,556.261	1,893.130	591.470	71.661
Q4 2026	3,361.491	2,536.398	739.528	85.565
Q1 2027	4,279.731	3,281.674	899.657	98.400
Q2 2027	4,630.403	3,604.232	927.771	98.400
Q3 2027	4,927.412	3,873.127	948.857	105.429
Q4 2027	5,179.208	4,103.836	962.914	112.457

Calendar quarter	Revenue	SSD / Storage	Smart Device	Other
Q1 2028	5,383.886	4,301.486	969.943	112.457
Q2 2028	5,524.457	4,442.057	969.943	112.457
Q3 2028	5,636.914	4,554.514	969.943	112.457
Q4 2028	5,735.314	4,652.914	969.943	112.457
Q1 2029	5,805.600	4,730.229	969.943	105.429
Q2 2029	5,875.886	4,807.543	969.943	98.400
Q3 2029	5,932.114	4,870.800	969.943	91.371
Q4 2029	5,988.343	4,934.057	969.943	84.343
Q1 2030	6,030.514	4,983.257	969.943	77.314
Q2 2030	6,072.686	5,032.457	969.943	70.286
Q3 2030	6,114.857	5,081.657	969.943	63.257
Q4 2030	6,157.029	5,130.857	969.943	56.229

Operating profit path



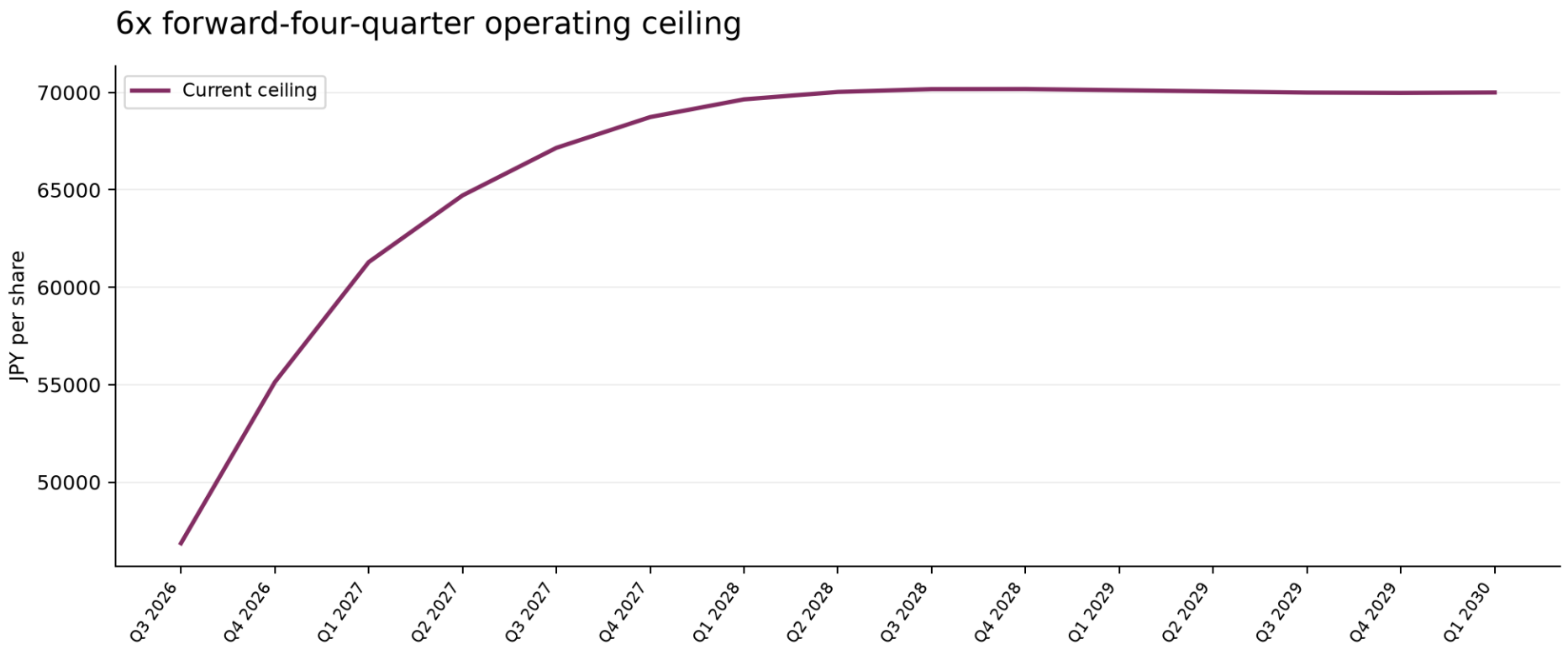
1amInvesting | current model assumptions | 12 October 2026 | rounded display; exact workbook calculations retained

Gross profit, operating expenses and non-GAAP OP

Calendar quarter	Gross profit	Opex	Non-GAAP OP	OP margin
Q3 2026	2,173.395	115.032	2,058.363	80.52%
Q4 2026	2,971.226	150.595	2,820.631	83.91%
Q1 2027	3,883.117	191.648	3,691.469	86.25%
Q2 2027	4,224.066	207.357	4,016.709	86.75%
Q3 2027	4,500.843	221.676	4,279.167	86.84%
Q4 2027	4,709.590	234.051	4,475.539	86.41%

Calendar quarter	Gross profit	Opex	Non-GAAP OP	OP margin
Q1 2028	4,855.786	244.967	4,610.819	85.64%
Q2 2028	4,928.097	255.230	4,672.867	84.59%
Q3 2028	4,968.434	264.935	4,703.499	83.44%
Q4 2028	4,994.614	274.722	4,719.893	82.30%
Q1 2029	4,996.935	283.894	4,713.041	81.18%
Q2 2029	5,004.986	293.207	4,711.779	80.19%
Q3 2029	5,006.614	301.945	4,704.670	79.31%
Q4 2029	5,014.243	310.795	4,703.448	78.54%
Q1 2030	5,015.929	319.014	4,696.915	77.89%
Q2 2030	5,023.126	327.318	4,695.808	77.33%
Q3 2030	5,035.832	335.706	4,700.126	76.86%
Q4 2030	5,053.379	344.178	4,709.201	76.48%

Rolling four-quarter ceiling



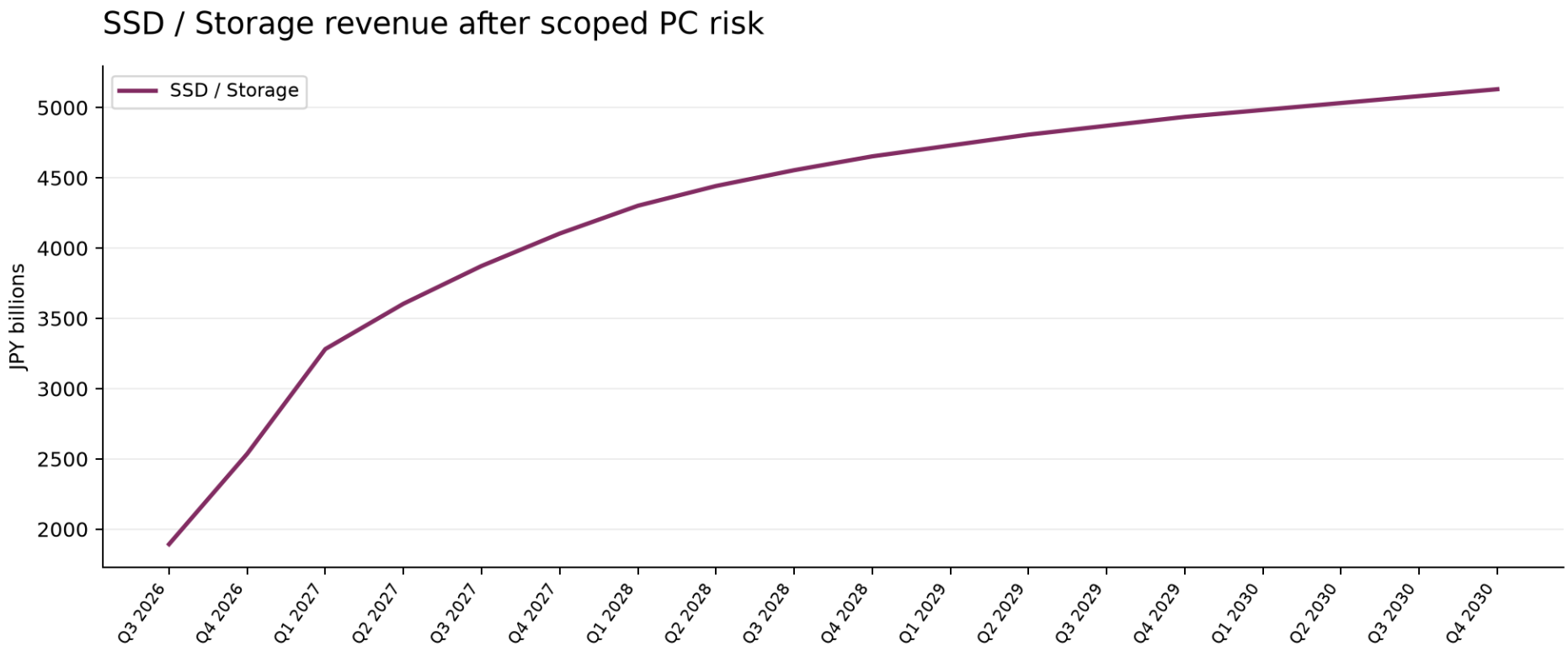
1amInvesting | current model assumptions | 12 October 2026 | rounded display; exact workbook calculations retained

6x forward-four-quarter operating ceiling

Ceiling quarter	Current ceiling JPY/share
Q3 2026	46,862.386
Q4 2026	55,130.501
Q1 2027	61,291.768
Q2 2027	64,714.532
Q3 2027	67,157.426
Q4 2027	68,737.225

Ceiling quarter	Current ceiling JPY/share
Q1 2028	69,646.961
Q2 2028	70,027.537
Q3 2028	70,172.407
Q4 2028	70,176.764
Q1 2029	70,115.539
Q2 2029	70,055.502
Q3 2029	69,996.041
Q4 2029	69,979.126
Q1 2030	70,000.544

SSD / Storage driver



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SSD / Storage revenue after scoped PC risk

Calendar quarter	SSD / Storage revenue JPYbn
Q3 2026	1,893.130
Q4 2026	2,536.398
Q1 2027	3,281.674
Q2 2027	3,604.232
Q3 2027	3,873.127
Q4 2027	4,103.836

Calendar quarter	SSD / Storage revenue JPYbn
Q1 2028	4,301.486
Q2 2028	4,442.057
Q3 2028	4,554.514
Q4 2028	4,652.914
Q1 2029	4,730.229
Q2 2029	4,807.543
Q3 2029	4,870.800
Q4 2029	4,934.057
Q1 2030	4,983.257
Q2 2030	5,032.457
Q3 2030	5,081.657
Q4 2030	5,130.857

Full investment analysis

The original thesis, company earnings calibration, product vectors, capital plan, cost schedules, share arithmetic, risk classes and sources are retained below. Source recovery is not a new earnings event. Current production method is Framework 8.0; older source dates remain their actual dates. Pricing realization, physical output, future margins and financing remain conditional where disclosed.

Classification: MEMORY BOTTLENECK - NAND manufacturing and enterprise storage mix.

The share denominator is exactly 1,611.5917710335393 million, using the inherited split-adjusted diluted proxy. The custom multiple remains 6x non-GAAP operating profit. Excel Base 78 and analytical Base 78 are separate fields and are preserved.

1. Thesis, products and competitive position

BOTTLENECK with cyclical pricing. Kioxia develops and manufactures NAND with SanDisk through the Japanese JV, then captures revenue through its own product mix and customer contracts. The shared manufacturing base does not make the two companies' revenue, margins, contractual terms or capital burdens identical.

Shared manufacturing, distinct commercial economics

Kioxia and SanDisk share NAND manufacturing development and investment through their Japanese production ecosystem. Yokkaichi, Kitakami, process transitions and BiCS technology link physical wafer and bit economics across the two companies. Their customer agreements, product mix, accounting, currencies and capital structures remain distinct.

The model separates SSD and Storage, Smart Device, and Other with distinct revenue mixes and independently derived margins. The selected Q3/Q4 benchmark price-growth rates are shared across these vectors as an explicit scenario assumption. Higher enterprise SSD mix can alter controller content, qualification, endurance requirements and economics. Node migration changes bits per wafer, but acceptance, yield and product qualification determine usable sold bits.

Supply agreements and capital allocation

Long-term volume arrangements support planning. Public evidence does not establish that every Kioxia contract has the same protected margin or pricing collars as those asserted in another company's research. Customer-specific price terms, mix and currency must remain explicit assumptions where they are undisclosed.

Manufacturing capex, R&D and financing requirements are material even during a strong memory cycle. The completed buyback and economic share proxy below govern the ceiling; an announced stock split changes the share unit, not the underlying business. All principal tables use one consistent post-split basis, including the comparative Q3 2026 share unit. Depreciation, future bit supply and capital returns should be tested together so that strong current margins do not implicitly fund both unlimited capacity and unlimited repurchases.

Research provenance: the product and competitive analysis in this section synthesizes the supplied original research. Dated market-share, process and channel claims retain their original evidence status; this integration is not a new independent verification of those claims. Current earnings and model assumptions are set out below.

2. Earnings, guidance and operating assumptions

Latest earnings and guidance

Calendar Q2 2026 revenue was JPY1,767.117B, non-GAAP OP 1,326.216B and IFRS OP 1,270.017B. Application revenues were 1,174.719B SSD/Storage, 525.656B Smart Device and 66.742B Other. The retained Japanese filing supports calendar Q3 guidance of revenue 2,390B and non-GAAP OP 1,900B by subtracting the first-quarter actuals from cumulative half-year guidance. [KIO-1]

The active pricing case is **JPY2,556.26B revenue and 2,058.36B non-GAAP OP**. It is above the recorded company outlook and is not presented as a company guidance revision. Product gross margins remain modeled rather than disclosed segment profitability. The retained review includes one complete management call; a second complete transcript remains an evidence gap.

Management and contract interpretation

The latest call describes increasing enterprise allocation, higher pricing, customer-specific LTA negotiations and a goal near 50% of 2028 shipment volume. Management expressly describes terms as bespoke. There is no verified basis to label every Kioxia contract with Micron’s or SanDisk’s pricing floors and ceilings. Source: KIO-2.

The forward SSD/Storage margin path is therefore conditional on mix, pricing and cost execution. It is not represented as contractually guaranteed. Consumer NAND exposure may normalize differently from enterprise SSDs, but both depend on industry output and customer demand.

Forward model and capital plan

Active NAND pricing and source treatment

The active NAND benchmark is **calendar Q3 2026 +23%, Q4 2026 +20% and Q1 2027 +15% sequentially**. Q3/Q4 retain the upper bounds of the owner-supplied TrendForce ranges, ranked Tier 1 alongside Serenity. The added Q1 forecast comes from the owner-supplied Jeff Pu/Jukan summary citing TrendForce. The owner authorized this combined case on September 21. The quoted analyst path was +21%/+17%/+15%; the active case retains the owner's higher 2026 selections. [TF-1, JF-1]

The source's current ranges are Q3 +18-23% and Q4 +15-20%. The original updated table was not independently retrieved. The selected rates are a user-authorized modeling input; the translation into this company's realized prices is analytical. Full benchmark transmission is assumed for modeled NAND product sales, including sales governed by customer agreements. That does not establish that every contract permits immediate repricing. The source rank does not convert undisclosed contract terms into verified facts.

With Q2 2026 indexed to 1.000, active calendar price indexes are **1.230 in Q3, 1.476 in Q4 and 1.6974 in Q1 2027**. The Q1 level is 69.74% above Q2 2026. The +15% is applied once in Q1; it does not recur every quarter. Later forecasts retain their existing operating trajectory at this higher benchmark level. Persistence through 2030 is a modeling assumption, not a forecast supplied by TrendForce or the quoted analysts.

Product production-cost schedules are retained at the existing shipment assumptions. Gross profit equals revised product revenue less those modeled costs; product gross margin is derived. The inherited NAND benchmark reconstruction applies the existing quarterly opex percentages to its reference revenues. Incremental benchmark pricing therefore increases gross margin and baseline dollar opex. The new PC risk branch then retains those baseline opex dollars exactly rather than claiming a cost saving from lost sales. This assumes no additional manufacturing-cost inflation or new cost savings from the pricing update. Multiples, share schedules and portfolio Base scores are retained.

Explicit pricing reconstruction

The inherited model did not separately identify pricing and physical volume. To replace its implicit pricing without adding the full industry increase on top, this case uses a disclosed analytical reconstruction: reference price indexes are 1.150 for Q3 and 1.2075 for Q4, corresponding to the prior TrendForce upper bounds supplied by the owner. These reference indexes are calculation denominators only, not the active price forecast and not evidence of Kioxia's actual ASP assumptions.

For each product, reference-price revenue = inherited modeled revenue / reference price index. Reference revenue before the PC risk overlay = reference-price revenue times the active price index of 1.230 in Q3 2026, 1.476 in Q4, or 1.6974 from Q1 2027. This preserves the residual volume/mix/FX contribution implied by that reconstruction. It does not claim to recover actual physical bit shipments. The reconstruction's baseline is LOW confidence; choosing another baseline would change the incremental upgrade.

From Q1 2027 onward, the reference denominator remains 1.2075 and the active benchmark is 1.6974. Each product retains its inherited subsequent revenue-growth pattern, including its embedded volume, mix, currency and later pricing assumptions. The additional Q1 benchmark lift is 15% relative to the previously active 1.476 index. This preserves the existing reconstruction rather than inferring undisclosed physical bit shipments. All three application vectors receive the benchmark in this selected case; exact product/customer exposure remains unverified.

Section 4 supplies reference-price inputs, active benchmark indexes and the separate PC risk overlay so every current product revenue and profit can be reproduced. Inherited product-cost schedules are the starting point; the stated variable-cost saving affects only lost scoped notebook units. All baseline opex dollars and the constant diluted-share proxy are retained. Annual revenue and OP below are outputs, not additional targets.

On August 27, the partners announced about JPY5T of combined investment through 2032, conditional on government support. This is shared, multi-year expenditure and cannot be counted in full for both partners. Source: KIO-4. K3 targets operations in FY2029, meaning the year beginning April 2029; detailed deployment remains demand-dependent. It contributes no new capacity proof for calendar 2028. Source: KIO-5.

The model retains inherited production-cost schedules and baseline dollar opex; only the new scoped variable-cost saving on lost notebook units is deducted. The PC pricing discount itself saves no production cost. Cash capex net of subsidies is not evidence that NAND manufacturing has negligible depreciation or funding needs. A complete new-project depreciation/financing bridge remains an open condition for later years.

Completed buyback and share denominator

The completed August 10 buyback represents **48.400500M shares on the split-adjusted basis**, for unchanged cash consideration of JPY799.997689B. Source: KIO-3. June issued shares net of treasury restate to **1,644.043914M**. Parent earnings and diluted EPS imply a diluted weighted proxy of **1,656.620265M**, versus **1,640.671908M** basic weighted shares, giving an incremental dilution proxy of **15.948357M**. Source: KIO-1. These are mechanical three-for-one restatements of the retained historical inputs, not new issuances or updated capital-structure estimates.

The active denominator is June net issued shares plus the dilution proxy less the completed repurchases: **1,611.591771M shares**. It is held constant. The workbook calculates at full precision from the existing rounded reported EPS input; the displayed denominator is not rounded before valuing the shares. It remains a model proxy, not a newly disclosed post-buyback diluted share count.

Valuation and stock split

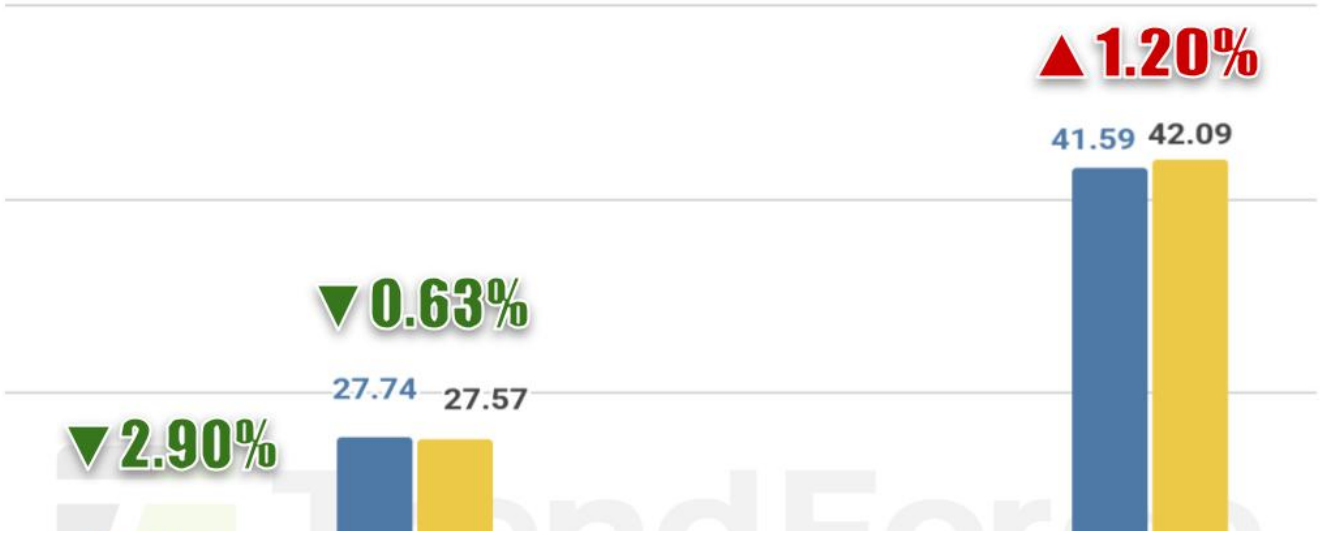
Use **6x forward four-quarter non-GAAP operating profit**, with no probability factor. The stock split is **exactly three new ordinary shares for each old share**. Kioxia's July 31 notice specifies a September 30, 2026 record date and October 1 legal effective date. Its June 30 issued-share illustration changes 548,015,088 to 1,644,045,264, an exact factor of 3. These notice counts establish the ratio; they do not replace the model's buyback-adjusted diluted proxy. [KIO-6]

All active share counts and per-share ceilings are now on the post-split basis. Share counts are multiplied by exactly 3; per-share prices, earnings and ceilings are divided by exactly 3. Group revenue, profit, cash consideration and valuation multiple are unchanged. The saved Excel reference price is restated into the same share unit without treating it as a new market quote. There is no second division of a value already restated. Exact split arithmetic is retained in Excel; decimals arise only from per-share division and display precision.

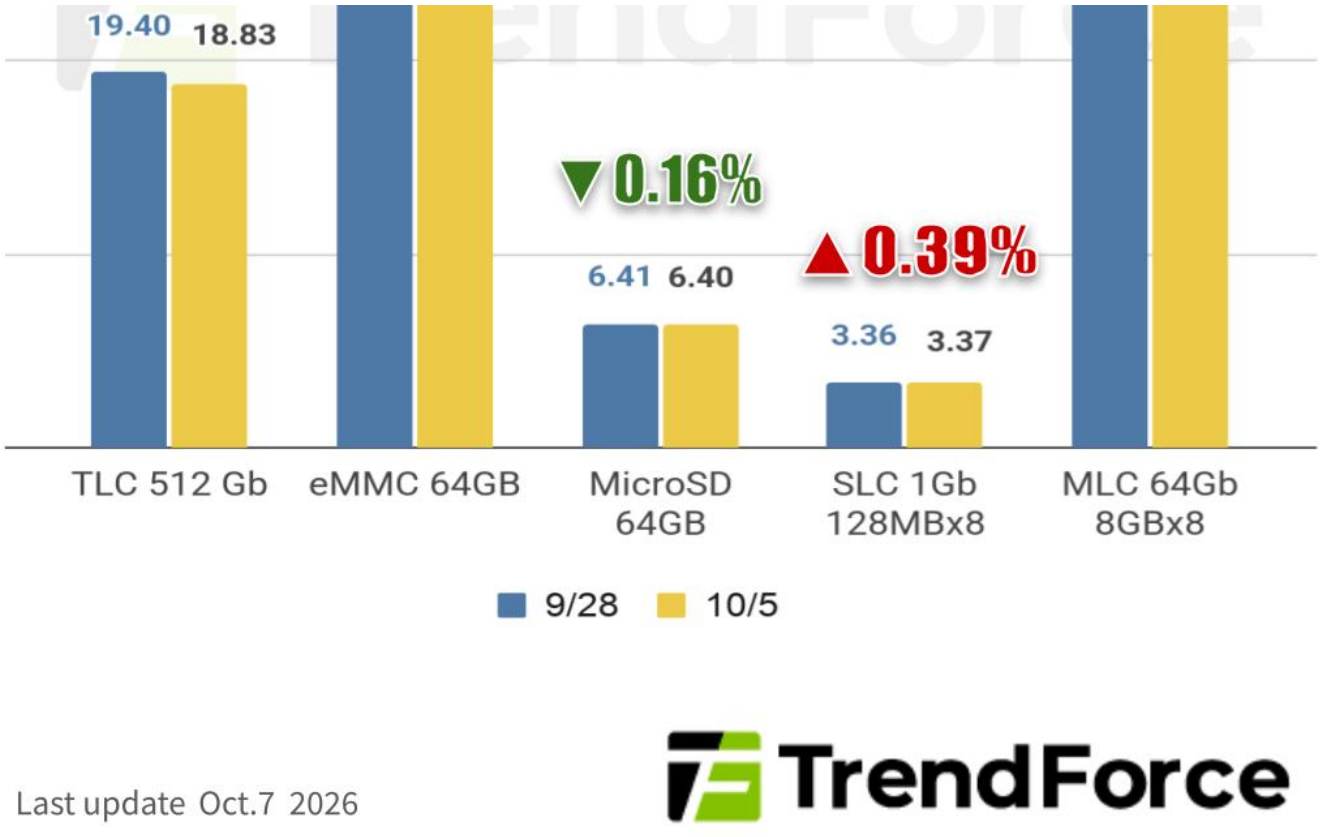
Rule 16b: notebook demand and PC NAND counter-evidence

Verified source scope. TrendForce's 8 October release expects a low-single-digit 2027 notebook shipment decline. The higher single-digit downside requires fuller CPU/DRAM cost pass-through; it is not the selected outcome. CPU, DRAM and SSD together represent 68% of manufacturing BOM for a mainstream notebook with $900 retail price, not 68% of retail sales and not memory alone. Purchases pulled forward and low-cost inventory depletion can reduce final demand or device specifications. Units, memory content per device and supplier procurement are distinct.

Its 21 July NAND release anticipated a 4-5% 2026 deficit and a supply balance that may turn positive in H2 2027. The October release reiterates that timing; this is one underlying easing hypothesis, not two independent confirmations. The 30 September outlook still forecasts Q4 conventional DRAM +10-15% and NAND +15-20%, with strong enterprise SSD demand and many new high-capacity QLC orders committed. The 7 October spot decline of 512Gb TLC is a spot product quotation, not a company contract ASP or a blended NAND forecast. 512Gb is not 512GB.



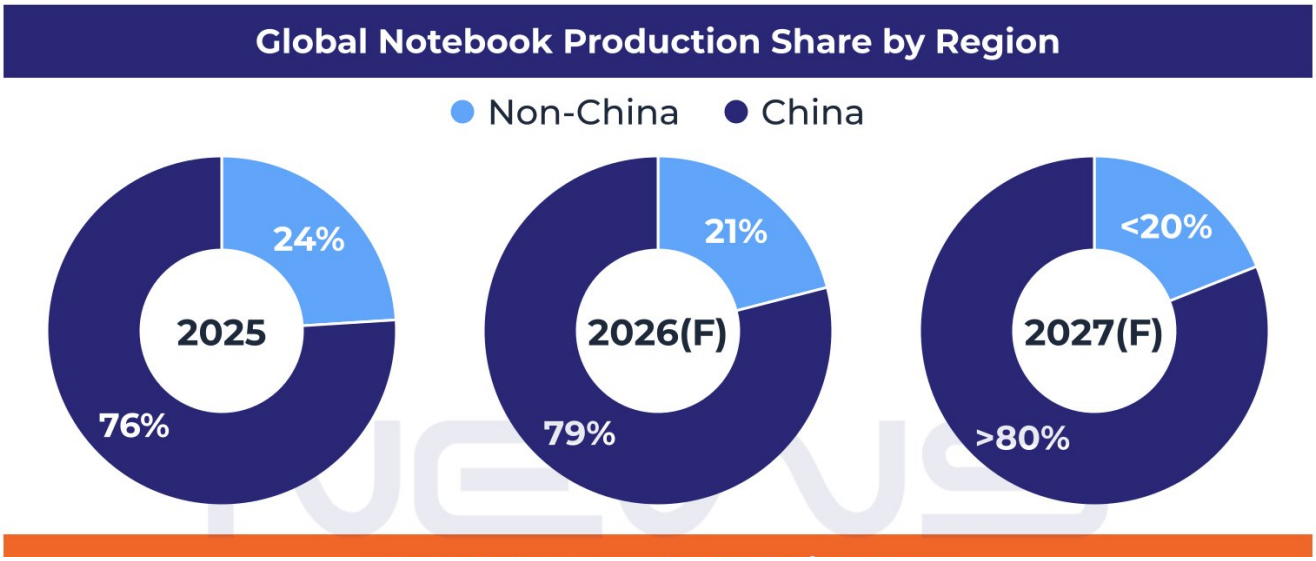
Original 7 October memory spot table; spot categories and units retained Original exhibit, panel 1 of 2; read from top to bottom.



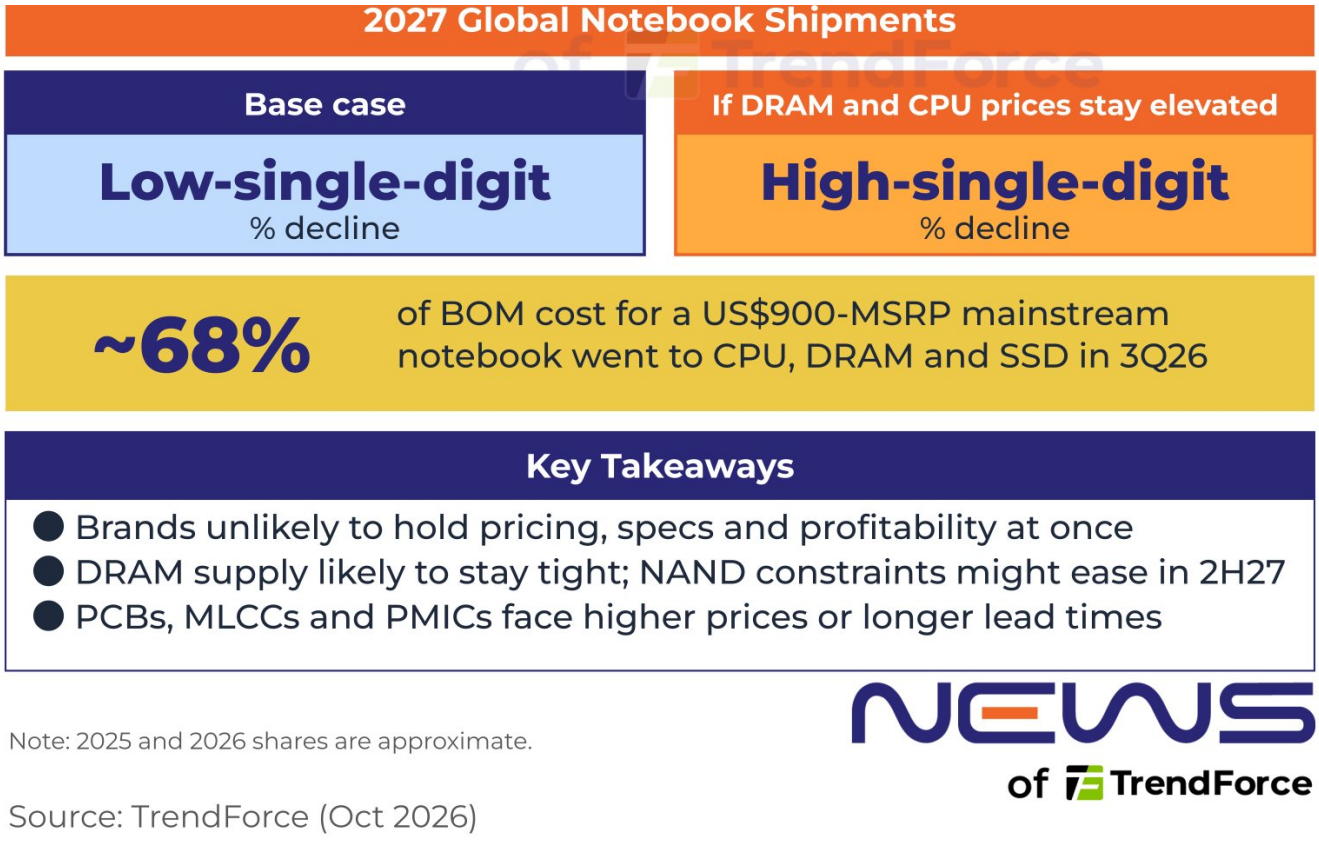
Original 7 October memory spot table; spot categories and units retained Original exhibit, panel 2 of 2; read from top to bottom.

Original image retained without downsampling. Its source post is 2107712530688725316. The spot article's unrounded 512Gb TLC comparison is -2.90%; calculating from the rounded image quotations need not give the identical percentage. This evidence supports a downside watch, not a wholesale enterprise NAND price cut.

Rising Costs Threaten 2027 Notebook Demand, Says TrendForce



Original 8 October notebook demand infographic; CPU DRAM SSD manufacturing BOM scope Original exhibit, panel 1 of 2; read from top to bottom.



Original 8 October notebook demand infographic; CPU DRAM SSD manufacturing BOM scope Original exhibit, panel 2 of 2; read from top to bottom.

Original notebook image retained without downsampling; original attachment mapping is post 2108180622594461814. Related retained posts 2108211041330958824 and 2108232095164449007 discuss the same underlying release. Recovering the primary release does not prove that every original X long-text field was complete.

Bounded company proxy. Management's retained statement that datacenter/enterprise exceeds 60% of SSD/Storage gives historical PC exposure below 40%; it does not establish a 2027 contract mix. Use 40% as an upper historical PC-linked proxy. Omdia reports notebook/mobile-workstation unit shares of 50.8/64.8 = 78.3951% in Q1 2026 and 51.7/65.7 = 78.6910% in Q2. Those are internally consistent PC samples, not TrendForce denominators. Assume a notebook SSD wallet per device of 0.5x a desktop; around 78.5% units then imply roughly 65% of PC value. Neither the 0.5x relative wallet nor the resulting 65% is an issuer-reported revenue share. Different SSD capacities, controller ASPs and Kioxia OEM exposure can change it materially.

The existing reconstructed SSD growth path contains no separately identified notebook unit decline. A flat notebook-unit baseline is an explicit counterfactual proxy, not a recovered issuer forecast. The incremental risk subtracts a 3% global 2027 notebook-unit outcome, bounded 2-4%, with 60% probability. Only 50% transmits to supplier procurement after possible content growth, inventories, order floors and qualified enterprise redeployment; this 50% is a model assumption, not measured reallocation. Effective conditional loss is 1.5% of the notebook wallet. The historical PC proxy and notebook value proxy select 26% of SSD/Storage as the exposed notebook wallet.

For the joint NAND hypothesis use 50% probability of a 3% PC price discount on 50% of the PC wallet, assumed repriceable, beginning Q3 2027. A 50% repricing fraction is a bounded assumption, not inferred from the company's goal for 2028 LTAs. Apply it proportionally to PC notebooks and desktops; do not price-cut all enterprise or smartphone NAND. There is no incremental physical enterprise volume from hypothetical redeployment: existing enterprise growth already captures that demand.

Overlap and correlation. Unit-only / price-only / joint / neither weights are 20% / 10% / 40% / 30%. Marginals remain 60% and 50%. In a joint outcome, price is applied after the scoped notebook units are lost, so the shared unit-price cross-product is returned once; notebook and NAND evidence are not additive full-company demand shocks. Existing NAND growth, reference reconstruction, enterprise growth and product-cost normalization are retained. The model does not already identify this PC cohort's price discount; no automatic overlap credit is assigned to unrelated cost normalization. The upper PC proxy plus 50% transmission/repricing explicitly bounds exposure rather than applying a second unspecified haircut.

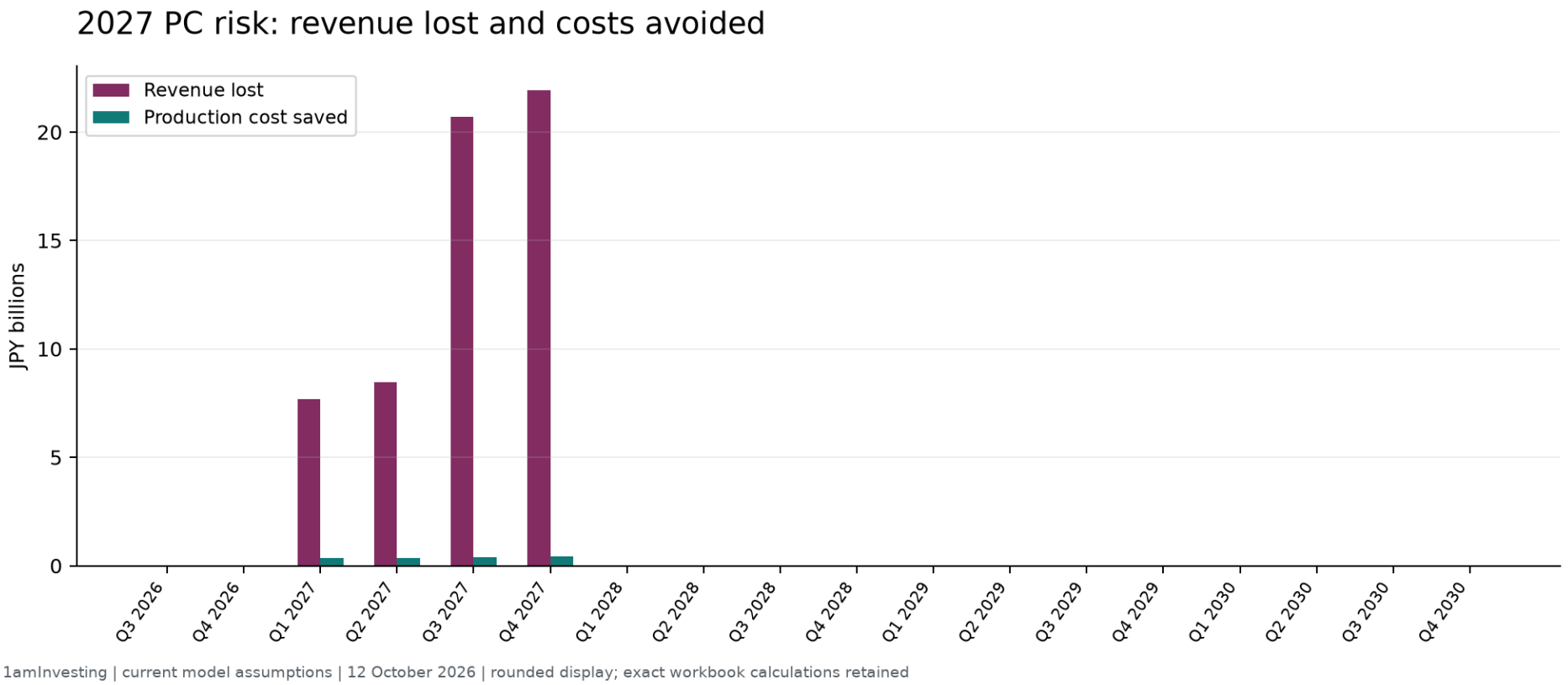
Costs and timing. On lost notebook units, avoid 50% of the scoped production-cost pool and retain the other 50% as fixed manufacturing, depreciation, qualification and related capacity costs. The 50% variable share is a labeled diagnostic assumption because issuer cash COGS versus D&A by notebook cohort is unavailable. All inherited quarterly opex dollars remain; lower revenue increases the effective opex ratio. Price discounts generate no production-cost saving. No capex is expensed dollar-for-dollar and no D&A is removed. Unit risk covers Q1-Q4 2027 only; price risk covers Q3-Q4 2027 only. No 2026 increment is selected from a 2027 unit forecast, and no 2028-2030 extrapolation is selected without duration evidence. The finite overlay is not a claim that pricing rebounds or units recover in 2028.

Redirection counter-evidence. Strong, often committed enterprise demand can absorb some shared NAND output. Finished PC SSD controllers, firmware, endurance bins and qualifications are not automatically interchangeable with enterprise SSDs, so one-for-one redirection is not established. Raw NAND bits, qualified saleable product and accepted customer revenue remain different stages. The 50% net transmission permits some mitigation without adding another enterprise growth shock. Refresh the proxy when Kioxia reports PC/client bit mix, content, procurement, contract floors, qualified product transfers and realized ASP.

Joint-state calculation and quarterly bridge

For reference SSD sales R and production cost C, PC fraction a=0.40, notebook wallet b=0.65, effective unit loss u=0.03x0.50=0.015 and effective PC price loss d=0.03x0.50=0.015: weighted revenue loss in H1 = R x 0.60 x a x b x u. In H2 add R x 0.50 x a x d and subtract the joint cross-product R x 0.40 x a x b x u x d. Weighted cost saving = C x 0.60 x a x b x u x 0.50. Operating-profit increment = -weighted revenue loss + weighted cost saving, with baseline opex retained. This applies the outcome probabilities once.

The corresponding revenue factors are exactly 0.99766 in Q1/Q2 2027 and 0.9946834 in Q3/Q4 2027. All other periods have factor 1.00000. Probability-zero controls reproduce all fifteen original ceilings. Numeric controls are guarded to their physical domains; missing/non-numeric input produces unavailable rather than an invented zero.



2027 PC risk: revenue lost and costs avoided

Quarter	PC proxy JPYbn	Notebook proxy JPYbn	Revenue lost JPYbn	Costs saved JPYbn	OP increment JPYbn
Q3 2026	757.252174	492.213913	0.000000	0.000000	0.000000
Q4 2026	1,014.559006	659.463354	0.000000	0.000000	0.000000
Q1 2027	1,315.748571	855.236571	7.697129	0.355914	-7.341215
Q2 2027	1,445.074286	939.298286	8.453685	0.372856	-8.080829
Q3 2027	1,557.531429	1,012.395429	20.701929	0.395390	-20.306539
Q4 2027	1,650.308571	1,072.700571	21.935076	0.432678	-21.502399
Q1 2028	1,720.594286	1,118.386286	0.000000	0.000000	0.000000
Q2 2028	1,776.822857	1,154.934857	0.000000	0.000000	0.000000
Q3 2028	1,821.805714	1,184.173714	0.000000	0.000000	0.000000
Q4 2028	1,861.165714	1,209.757714	0.000000	0.000000	0.000000
Q1 2029	1,892.091429	1,229.859429	0.000000	0.000000	0.000000
Q2 2029	1,923.017143	1,249.961143	0.000000	0.000000	0.000000
Q3 2029	1,948.320000	1,266.408000	0.000000	0.000000	0.000000
Q4 2029	1,973.622857	1,282.854857	0.000000	0.000000	0.000000
Q1 2030	1,993.302857	1,295.646857	0.000000	0.000000	0.000000
Q2 2030	2,012.982857	1,308.438857	0.000000	0.000000	0.000000
Q3 2030	2,032.662857	1,321.230857	0.000000	0.000000	0.000000
Q4 2030	2,052.342857	1,334.022857	0.000000	0.000000	0.000000

Q4 2027 reference SSD revenue is JPY4,125.771428571428B. Weighted revenue loss is JPY21.935076377142856B; variable production-cost saving is JPY0.4326777B. Net OP increment is JPY-21.502398677142857B. Q1-Q3 2028 OP is unchanged, so that is also the increment to the active Q4 2027 forward-four-quarter profit window. At 6x and the exact inherited shares, the current ceiling is JPY68,737.22544319925, a -0.1163283637272583% revision on the same quarter/currency/split basis. Display rounding is not used in workbook arithmetic.

Bounded diagnostics, not additional active cases

The selected point remains 3% notebook decline, 3% scoped PC price discount and 50% avoidable production cost. Vary one uncertain input at a time: 2-4% notebook units reflect the selected low-single-digit interpretation; 1-5% PC price discount is an ASTRA realization stress, not a TrendForce price forecast; 0-100% avoidable cost is the physical identification envelope when cohort cash COGS/D&A is unavailable. The endpoints are diagnostics, not probability-weighted scenario choices. All baseline opex dollars remain and all other controls, overlap, horizon, shares and method stay fixed. These are Q4 2027 valuation results from the one affected quarter in that four-quarter window.

Diagnostic	OP increment JPYbn	Q4 2027 ceiling JPY/share	Revision %
Selected case	-21.502399	68,737.225443	-0.116328%
Notebook decline 2%	-18.460704	68,748.549756	-0.099873%
Notebook decline 4%	-24.544093	68,725.901131	-0.132784%
PC price discount 1%	-13.315218	68,767.706540	-0.072036%
PC price discount 5%	-29.689580	68,706.744346	-0.160621%
No production cost avoidable	-21.935076	68,735.614572	-0.118669%
All scoped production cost avoidable	-21.069721	68,738.836314	-0.113988%

The historically bounded PC share itself can be lower than 40%; zero exposure removes the risk. The point uses the upper historical PC anchor and does not pretend that a precise forward issuer mix is known. The modest target revision reflects the small scoped wallet, joint arithmetic, existing enterprise growth and fixed costs, not a judgment that all consumer memory demand is immune.

3. Analytical score

The category arithmetic gives **47/60 = 78/100** after the existing -5-point risk deduction. The current Excel Base remains **78/100**. Risk-class detail appears in section 7.

Category	Points	Maximum	Basis
Core thesis	16	20	NAND technology, scale and JV assets; contract terms remain bespoke and incompletely disclosed.
Cycle stage	9	10	Very strong pricing and demand, with margins already elevated.
TAM expansion	10	10	AI inference, context storage, enterprise SSD and edge memory expand content.
Catalysts	4	5	Node transitions, customer agreements and new-fab milestones.
Macro	9	10	AI demand supports storage; yen sensitivity remains material.
Alpha	4	5	Japanese buyback completion and capital plan materially improve source precision.

Category	Points	Maximum	Basis
Risks	-5	0	Industry supply; FX; customer terms; financing/capital allocation; product mix and technology execution.

4. Product economics and quarterly operating model

Forecasts distinguish reported anchors, guidance and assumptions. These product production-cost pools are inherited analytical calibrations, not new issuer segment-cost disclosures. The model retains non-GAAP OP as its custom operating-profit basis; it is not a new GAAP profit decomposition.

Vector evidence

Vector	Source / derivation	Confidence
SSD and Storage	Japanese application revenue; retained enterprise/datacenter >60% statement	HIGH actual revenue; LOW future PC mix and margins
Smart Device	Japanese application revenue; handset units, content and ASP	HIGH actual; LOW forward
Other	Japanese application revenue; modeled runoff	HIGH actual; LOW forward

Revenue at reference pricing

JPY billions. Reference amounts multiplied by the retained active NAND index produce revenues before the separately quantified PC overlay. The first vector then subtracts the weighted PC revenue loss. These are reconstruction inputs, not measured physical bit shipments.

Quarter	SSD reference	Smart Device reference	Other reference	Active index	SSD risk loss
Q3 2026	1,539.130	480.870	58.261	1.2300	0.000000
Q4 2026	1,718.427	501.035	57.971	1.4760	0.000000
Q1 2027	1,937.888	530.021	57.971	1.6974	7.697129
Q2 2027	2,128.364	546.584	57.971	1.6974	8.453685
Q3 2027	2,293.996	559.006	62.112	1.6974	20.701929
Q4 2027	2,430.642	567.288	66.253	1.6974	21.935076
Q1 2028	2,534.161	571.429	66.253	1.6974	0.000000
Q2 2028	2,616.977	571.429	66.253	1.6974	0.000000
Q3 2028	2,683.230	571.429	66.253	1.6974	0.000000

Quarter	SSD reference	Smart Device reference	Other reference	Active index	SSD risk loss
Q4 2028	2,741.201	571.429	66.253	1.6974	0.000000
Q1 2029	2,786.749	571.429	62.112	1.6974	0.000000
Q2 2029	2,832.298	571.429	57.971	1.6974	0.000000
Q3 2029	2,869.565	571.429	53.830	1.6974	0.000000
Q4 2029	2,906.832	571.429	49.689	1.6974	0.000000
Q1 2030	2,935.818	571.429	45.549	1.6974	0.000000
Q2 2030	2,964.803	571.429	41.408	1.6974	0.000000
Q3 2030	2,993.789	571.429	37.267	1.6974	0.000000
Q4 2030	3,022.774	571.429	33.126	1.6974	0.000000

Product revenue build

JPY billions. SSD/Storage includes the scoped PC overlay; remaining vectors preserve their existing economics.

Quarter	SSD / Storage	Smart Device	Other	Total
Q3 2026	1,893.130	591.470	71.661	2,556.261
Q4 2026	2,536.398	739.528	85.565	3,361.491
Q1 2027	3,281.674	899.657	98.400	4,279.731
Q2 2027	3,604.232	927.771	98.400	4,630.403
Q3 2027	3,873.127	948.857	105.429	4,927.412
Q4 2027	4,103.836	962.914	112.457	5,179.208
Q1 2028	4,301.486	969.943	112.457	5,383.886
Q2 2028	4,442.057	969.943	112.457	5,524.457
Q3 2028	4,554.514	969.943	112.457	5,636.914
Q4 2028	4,652.914	969.943	112.457	5,735.314
Q1 2029	4,730.229	969.943	105.429	5,805.600
Q2 2029	4,807.543	969.943	98.400	5,875.886

Quarter	SSD / Storage	Smart Device	Other	Total
Q3 2029	4,870.800	969.943	91.371	5,932.114
Q4 2029	4,934.057	969.943	84.343	5,988.343
Q1 2030	4,983.257	969.943	77.314	6,030.514
Q2 2030	5,032.457	969.943	70.286	6,072.686
Q3 2030	5,081.657	969.943	63.257	6,114.857
Q4 2030	5,130.857	969.943	56.229	6,157.029

Product gross margins

Derived from current product revenue minus current production cost; forecast product margins are assumptions.

Quarter	SSD / Storage	Smart Device	Other
Q3 2026	85.51%	83.92%	81.30%
Q4 2026	88.55%	88.14%	85.93%
Q1 2027	90.74%	90.89%	88.97%
Q2 2027	91.17%	91.61%	89.68%
Q3 2027	91.28%	91.75%	89.83%
Q4 2027	91.00%	90.89%	88.83%
Q1 2028	90.47%	89.33%	87.05%
Q2 2028	89.76%	87.20%	84.78%
Q3 2028	88.97%	84.92%	82.22%
Q4 2028	88.19%	82.64%	79.65%
Q1 2029	87.41%	80.51%	77.24%
Q2 2029	86.70%	78.66%	75.24%
Q3 2029	86.06%	77.09%	73.54%
Q4 2029	85.49%	75.81%	72.18%
Q1 2030	84.99%	74.82%	71.12%

Quarter	SSD / Storage	Smart Device	Other
Q2 2030	84.56%	74.03%	70.34%
Q3 2030	84.21%	73.47%	69.77%
Q4 2030	83.92%	73.04%	69.34%

Production costs and baseline operating expenses

JPY billions. The price discount saves no production cost. Only the exposed lost notebook units save the assumed variable share; fixed costs and all baseline dollar opex remain.

Quarter	SSD production cost	Smart production cost	Other production cost	Opex
Q3 2026	274.350	95.116	13.400	115.032
Q4 2026	290.500	87.725	12.040	150.595
Q1 2027	303.844	81.920	10.850	191.648
Q2 2027	318.307	77.880	10.150	207.357
Q3 2027	337.545	78.300	10.725	221.676
Q4 2027	369.377	87.680	12.560	234.051
Q1 2028	410.040	103.500	14.560	244.967
Q2 2028	455.040	124.200	17.120	255.230
Q3 2028	502.200	146.280	20.000	264.935
Q4 2028	549.460	168.360	22.880	274.722
Q1 2029	595.605	189.060	24.000	283.894
Q2 2029	639.540	207.000	24.360	293.207
Q3 2029	679.140	222.180	24.180	301.945
Q4 2029	716.040	234.600	23.460	310.795
Q1 2030	747.995	244.260	22.330	319.014
Q2 2030	776.860	251.850	20.850	327.318
Q3 2030	802.530	257.370	19.125	335.706

Quarter	SSD production cost	Smart production cost	Other production cost	Opex
Q4 2030	824.900	261.510	17.240	344.178

Quarterly operating model

All rows are model forecasts, JPY billions. Non-GAAP OP = product GP minus baseline dollar opex.

Quarter	Revenue	Gross profit	Gross margin	Opex	Non-GAAP OP	OP margin
Q3 2026	2,556.261	2,173.395	85.02%	115.032	2,058.363	80.52%
Q4 2026	3,361.491	2,971.226	88.39%	150.595	2,820.631	83.91%
Q1 2027	4,279.731	3,883.117	90.73%	191.648	3,691.469	86.25%
Q2 2027	4,630.403	4,224.066	91.22%	207.357	4,016.709	86.75%
Q3 2027	4,927.412	4,500.843	91.34%	221.676	4,279.167	86.84%
Q4 2027	5,179.208	4,709.590	90.93%	234.051	4,475.539	86.41%
Q1 2028	5,383.886	4,855.786	90.19%	244.967	4,610.819	85.64%
Q2 2028	5,524.457	4,928.097	89.21%	255.230	4,672.867	84.59%
Q3 2028	5,636.914	4,968.434	88.14%	264.935	4,703.499	83.44%
Q4 2028	5,735.314	4,994.614	87.09%	274.722	4,719.893	82.30%
Q1 2029	5,805.600	4,996.935	86.07%	283.894	4,713.041	81.18%
Q2 2029	5,875.886	5,004.986	85.18%	293.207	4,711.779	80.19%
Q3 2029	5,932.114	5,006.614	84.40%	301.945	4,704.670	79.31%
Q4 2029	5,988.343	5,014.243	83.73%	310.795	4,703.448	78.54%
Q1 2030	6,030.514	5,015.929	83.18%	319.014	4,696.915	77.89%
Q2 2030	6,072.686	5,023.126	82.72%	327.318	4,695.808	77.33%
Q3 2030	6,114.857	5,035.832	82.35%	335.706	4,700.126	76.86%
Q4 2030	6,157.029	5,053.379	82.07%	344.178	4,709.201	76.48%

Forecast confidence is LOW for company-specific pricing realization, PC exposure, avoidable costs and long-range operating results. High source weighting does not resolve missing issuer mix, contract terms or D&A detail. The inherited exceptionally high modeled margins require continuing cost, qualification and realized-price

checks; the narrow overlay does not certify the entire older model.

Annual model cross-check

Calendar year	Revenue JPYbn	OP JPYbn	OP margin
2027	19,016.755	16,462.885	86.57%
2028	22,280.571	18,707.078	83.96%
2029	23,601.943	18,832.938	79.79%
2030	24,375.086	18,802.050	77.14%

5. Forward four-quarter operating ceiling

Ceiling = current-plus-next-three-quarter non-GAAP OP in JPY billions x 1,000 x 6 / 1,611.5917710335393 million diluted shares. The exact existing split-adjusted denominator and custom multiple are preserved. Outcome probabilities are already applied to the scoped operating inputs once; there is no second probability factor in this formula.

Quarter	Exact earnings window	F4Q OP JPYbn	Multiple	Shares M	Ceiling JPY/share
Q3 2026	Q3 2026 to Q2 2027	12,587.172730	6x	1,611.591771034	46,862.386453
Q4 2026	Q4 2026 to Q3 2027	14,807.976826	6x	1,611.591771034	55,130.500510
Q1 2027	Q1 2027 to Q4 2027	16,462.884955	6x	1,611.591771034	61,291.768490
Q2 2027	Q2 2027 to Q1 2028	17,382.234570	6x	1,611.591771034	64,714.532114
Q3 2027	Q3 2027 to Q2 2028	18,038.392394	6x	1,611.591771034	67,157.425538
Q4 2027	Q4 2027 to Q3 2028	18,462.724481	6x	1,611.591771034	68,737.225443
Q1 2028	Q1 2028 to Q4 2028	18,707.078183	6x	1,611.591771034	69,646.960921
Q2 2028	Q2 2028 to Q1 2029	18,809.300429	6x	1,611.591771034	70,027.537122
Q3 2028	Q3 2028 to Q2 2029	18,848.212223	6x	1,611.591771034	70,172.406790
Q4 2028	Q4 2028 to Q3 2029	18,849.382577	6x	1,611.591771034	70,176.764051
Q1 2029	Q1 2029 to Q4 2029	18,832.937709	6x	1,611.591771034	70,115.539358
Q2 2029	Q2 2029 to Q1 2030	18,816.811629	6x	1,611.591771034	70,055.501524
Q3 2029	Q3 2029 to Q2 2030	18,800.840566	6x	1,611.591771034	69,996.040822

Quarter	Exact earnings window	F4Q OP JPYbn	Multiple	Shares M	Ceiling JPY/share
Q4 2029	Q4 2029 to Q3 2030	18,796.297383	6x	1,611.591771034	69,979.126429
Q1 2030	Q1 2030 to Q4 2030	18,802.050194	6x	1,611.591771034	70,000.544302

Mechanical share sensitivity

Holding the active Q4 2027 operating case fixed, with all shares on the same exact 3:1 split basis:

Share denominator	Ceiling JPY/share
Current model	68,737.23
5% more shares	65,464.02
10% more shares	62,488.39

This is a denominator sensitivity, not a forecast of additional financing or issuance. The company capital plan and debt requirements remain separate operating and equity risks.

6. Industry relationships and read-throughs

SanDisk is the most direct production cross-check. Samsung, SK hynix and Micron inform industry supply and allocation, subject to different product exposures. Longsys, ESMT and Penguin are downstream or fabless businesses with different replacement-cost exposure.

7. Risks and falsification tests

The following ledger makes the existing aggregate risk deduction explicit. It does not introduce another deduction or change the analytical score.

Risk class	Existing deduction
Industry capacity and NAND pricing	-1
Foreign exchange and translation	-1
Customer contract terms and concentration	-1
Financing and capital allocation	-1
Technology, yield and product mix	-1
Total	**-5**

Score, industry learning and triggers

The commercial cycle remains strong, while industry capacity, FX, customer-contract terms, capital allocation and technology/product mix are distinct risk classes.

Apply Kioxia's physical node and fab information to SanDisk's shared manufacturing base; apply sales contracts and equity changes only to their actual issuer. Watch signed LTA scope, bit growth versus pricing, achieved repurchases, new awards, K3 investment approvals and the actual depreciation consequences of the shared plan.

PC risk refinement and escalation tasks

Obtain Kioxia PC/client versus enterprise SSD bit and revenue mix; notebook/desktop GB and ASP; fulfilled notebook procurement versus sell-through; customer inventory and firm LTA minima; repriceable fraction and floors; and qualified capacity redeployment. Reconcile manufacturing cash costs, D&A and fixed qualification costs for the exposed cohort. Raise the bounded overlay if actual PC order/ASP misses exceed it, or reduce it if content, firm pricing/volume or accepted enterprise sales absorb the same exposure. Reassess persistence before applying any 2028+ increment. These are precise external watch tasks, not unfinished validation of the current saved scenario.

Numbered monitoring tests

#	Checkpoint	Evidence supporting the operating case	Counter-test / failure signal
1	Bits and mix	Reconcile product sales to bit output, ASP and enterprise qualification.	Market-size growth alone does not validate Kioxia share or margin.
2	Contracts	Track company-specific volume and pricing disclosures.	Borrowed contract terms from SanDisk do not establish protected Kioxia profitability.
3	Investment	Reconcile capex and R&D with the production ramp and cash generation.	Capacity spending without yield or cash conversion weakens the case.
4	Share units	Reconcile repurchases and apply the stock split consistently to all denominators and ceilings.	Mixed pre/post-split units create a purely mechanical valuation error.

8. Sources, evidence gaps and model snapshot

- **TF-1** · Supplied September 20, 2026 · TrendForce NAND pricing update supplied in this conversation: Q3 2026 +18-23%; Q4 +15-20%. The owner selected +23% and +20% and ranked TrendForce Tier 1 alongside Serenity. The underlying updated table was not independently retrieved. Kioxia's reference-price reconstruction uses the separately supplied prior upper bounds solely as analytical denominators. This is not a source for company-specific contract realization or post-2026 forecasts.

Sources below are those documented in the retained company research and this pricing update. LOW-confidence product allocations, future margins, capacity bridges and incomplete management-call records remain unresolved where stated. Integrating the original research does not itself resolve all current-framework evidence

gaps.

- **KIO-1** · 2026-07-31 · Japanese Q1 earnings filing, year ending March 2027. Exact group/application revenue, non-GAAP and IFRS OP, guidance, issued/basic shares and diluted EPS.
- **KIO-2** · 2026-07-31 · Latest management earnings call transcript. Reproduced English interpretation of management; source numerical transcription checked against Japanese filing.
- **KIO-3** · 2026-08-10 · Japanese buyback completion notice. 48.4005M split-adjusted shares repurchased; JPY800B authorization exhausted and program completed.
- **KIO-4** · 2026-08-27 · Japanese joint investment disclosure. About JPY5T investment jointly with SanDisk through 2032, conditional on government support.
- **KIO-5** · 2026-08-27 · Japanese KitakamiK3 announcement. Target operations in FY2029; detailed equipment timing follows market demand and government support.
- **KIO-6** · 2026-07-31 · Official three-for-one split notice, English translation. Exact 3:1 ratio confirmed from the share-count arithmetic. September 30 record date and October 1 effective date. Reverified September 28, 2026; original Japanese notice controls in case of translation discrepancy.
- **KIO-7** · 2026-09-01 · Supplied current model and framework - User upload:285A_T_Q_Model and Framework6.0. Sanctioned 6x non-GAAP OP multiple; conditional operating trajectory.

The unchanged original source document is retained separately for full research provenance. It is an archive, not an additional active valuation case. Superseded score/ceiling tables are not incorporated into this active artifact.

- **JF-1** - Supplied September 21, 2026: Jeff Pu (@sssjeffpu) and Jukan (@jukan05), "NAND Pricing Breakout Driven by eSSD" summary in the owner's conversation. Quoted Q3 2026 / Q4 2026 / Q1 2027 blended NAND changes: +21% / +17% / +15%, citing TrendForce demand research. Only the Q1 +15% is newly adopted; the owner retains +23% and +20% for 2026. This is an owner-authorized combined case. The original analyst note and exact TrendForce table were not independently retrieved. Enterprise demand commentary is contextual and adds no shipment volume to this update.

Recovered original counter-evidence and calibration

- **TF-PC-1** - 8 October 2026: TrendForce original notebook release, English and Chinese. Low-single-digit 2027 notebook decline, manufacturing BOM scope and pricing pass-through counter-evidence. Full substantive bodies and original infographic reviewed.
- **TF-SPOT-1** - 7 October 2026: Original memory spot update. Scoped spot units and original table, not company contract realization.
- **TF-CONTRACT-1** - 30 September 2026: Original contract outlook. Q4 conventional DRAM +10-15%, NAND +15-20%, enterprise commitments and consumer budget pressure.
- **TF-NAND-1** - 21 July 2026: Original NAND supply analysis. 2026 shortage and conditional H2 2027 balancing; not a second October event.
- **OMD-PC-1** - 9 April 2026: Omdia Q1 PC release. 50.8M notebook/mobile-workstation units within 64.8M PCs; global unit calibration only.
- **OMD-PC-2** - 9 July 2026: Omdia Q2 PC release. 51.7M within 65.7M; global unit calibration only. The assumed relative SSD wallet is not in these sources.

Research transport is Grok run XDATA-20261011-1252-ET-ESA9, correction revision R1. Source recovery review is 12 October, not a new publication date. Stock posts 2107712530688725316, 2108211041330958824 and 2108232095164449007 share event MEMORY-PC-COUNTEREVIDENCE; the notebook original-image attachment retains its distinct source-post mapping 2108180622594461814. Original HTML and image SHA-256 records are retained with the review. Known full-X-text limitations remain distinct from recovered primary evidence. The operative probabilities, PC wallet, repricing, transmission and cost shares are ASTRA model assumptions rather than source-authored numbers.

Current model snapshot: 12 October 2026, Framework 8.0. Eighteen operating quarters and fifteen complete four-quarter valuation windows. Current Excel Base 78 and analytical Base 78 are preserved. Active Q4 2027 ceiling JPY68,737.225443199 per share uses Q4 2027-Q3 2028 non-GAAP OP at the sanctioned 6x and exact inherited split-adjusted diluted shares. Existing +23%/+20%/+15% NAND benchmark, three product vectors, enterprise trajectory, share ownership and capital-plan assumptions are retained. A probability-weighted PC notebook procurement overlay applies in 2027 only and a PC pricing overlay in H2 2027 only. No additional price recovery or duration beyond the evidence horizon is forecast. Prior full artifacts and sources remain recoverable.